

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/11

May/June 2014

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarakh Mughitay

Solved with reasons

This document consists of **12** printed pages.

Reduction in capability

↑ 2

Skills deteriorate!

↑

1 What is likely to occur as a result of a permanent rise in unemployment resulting in loss of skills?

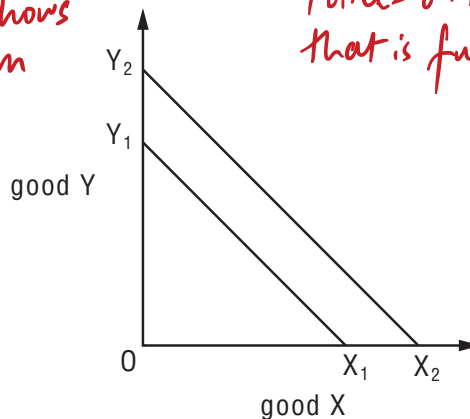
- ✓ A a reduction in the economy's long-run production possibility (wastage of resources)
- B a reduction in the scarcity of resources (Always exists)
- C an increase in the cost of allocating resources (More workers) (less cost)
- D an increase in the number of adults experiencing the economic problem (faced by everyone and every time)
↳ Not mentioned specifically

2 What is likely to be the short-run consequence of replacing central planning with a market-based system?

- A a decrease in the rate of inflation (Demand ↑ as more choices available)
- B a lower rate of return on capital investment (More capital investment)
- C a more equal distribution of income and wealth (More unequal) (only those able can purchase goods)
- ✓ D an increase in the level of unemployment
↳ Lack of demand in certain products (underallocation of resources)

3 The diagram illustrates the production possibility curve of an economy in Year 1 ($X_1 Y_1$) and in Year 2 ($X_2 Y_2$).

Production possibility curve shows combinations of outputs that an economy can produce with its given resources.



Points on the curve represents potential that is full employment

What can be concluded from the diagram?

- A The cost of production was higher in Year 2 than in Year 1. (PPC doesn't show cost)
- ✓ B The full employment level of output was higher in Year 2 than in Year 1. (correct)
Potential
- C The opportunity cost of production was higher in Year 2 than in Year 1. (constant opportunity cost, linear line)
- D Unemployment was higher in Year 2 than in Year 1.
↳ Actual / point inside PPC

3

- 4 An American bought an English football team in 2013. The money to purchase the club came from loans, which meant future interest payments of more than US \$95 million.

Which function of money is best illustrated by this transaction?

- A double coincidence of wants
 B general acceptability
☒ C standard of deferred payments
 D store of value

'Get the Knowledge first'

In economics standard of deferred payment is a function of money. It is the function of being a widely accepted way to value a debt, thereby allowing goods and services to be acquired now and paid for in the future. The other three being medium of exchange, store of value, and unit of account.

- 5 The market demand for a product is made up of the demand from three firms, X, Y and Z.

The table shows the demand from each firm and the market supply.

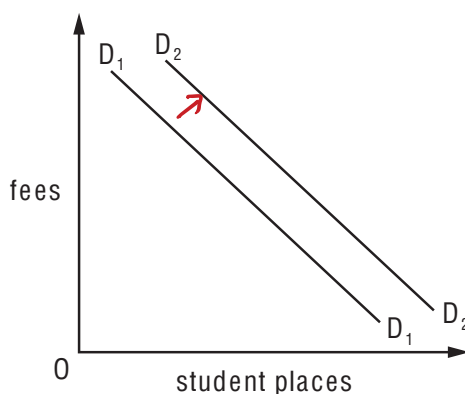
price \$	demand from X	demand from Y	demand from Z	market supply	
7	3300	3300	3300	3300	Market demand 9900
8	3100	2900	3100	6200	9100
9	2800	2500	2900	8200	= 8200
10	2500	2100	2700	10000	7300

D = S (Qd = Qs)

What is the equilibrium price in the market?

- A \$7 B \$8 ☒ C \$9 D \$10

- 6 In the diagram, D_1 is the initial demand curve for student places at universities.



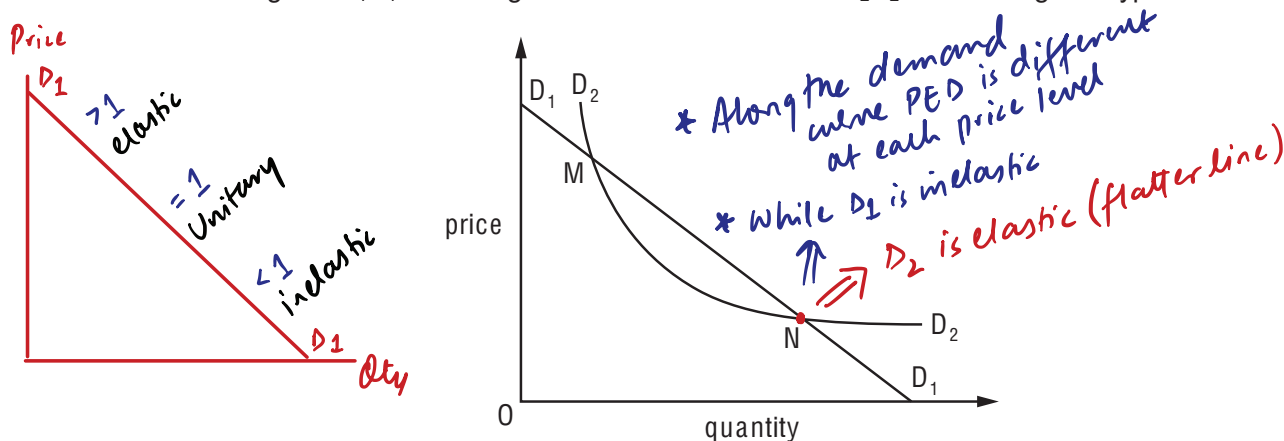
What could cause the demand curve to shift to D_2 ?

- A a decrease in student fees for universities (*movement*)
 B a decrease in the level of youth unemployment (*Employment ↑, less demand for education*)
☒ C an increase in graduate earnings compared with non-graduate earnings
 D higher A Level grades demanded for university entrance (*less able to get in*)

Demand ↑ for universities as its degree matter!

4

- 7 In the diagram D_1D_1 is a straight line demand curve and D_2D_2 is a rectangular hyperbola curve.



Which statement is correct?

- A D_2D_2 is more elastic than D_1D_1 at point M.
☒ B D_2D_2 is more elastic than D_1D_1 at point N.
 C The elasticity of demand increases on moving down both curves.
 D The elasticity of demand is inelastic at point M on both curves.
- 8 The table shows changes in a consumer's expenditure on various goods when her income increases from \$20 000 to \$24 000. *20% (% Δ in Y)*

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

$$YED = \frac{\% \Delta \text{ in } QD}{\% \Delta \text{ in } Y} \Rightarrow > 1$$

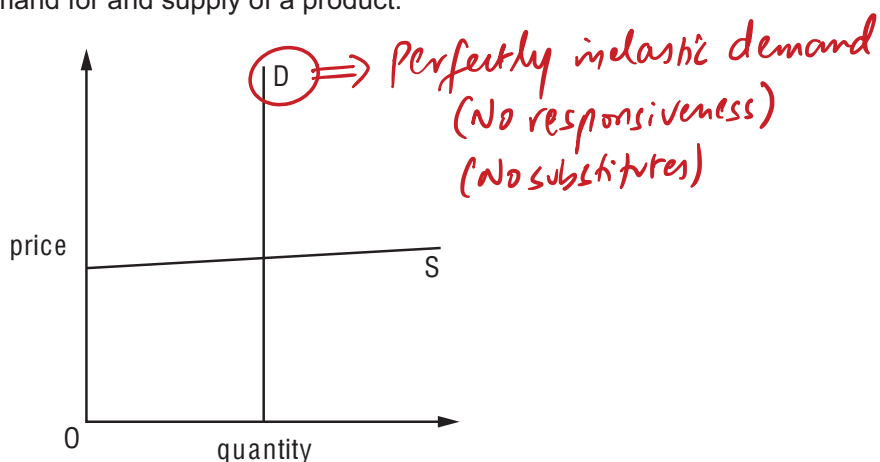
good	income \$20 000: amount spent on good (\$)	income \$24 000: amount spent on good (\$)	% Δ in QD	% Δ in Y	⇒ YED
W	100	96	-4%	20%	-0.2
X	100	100	0	20%	0
Y	200	224	12%	20%	+0.6
☒ Z	200	248	24%	20%	+1.2

Assuming all else remains unchanged, for which goods is the consumer's income elasticity of demand greater than 1.0?

- A W, Y and Z
 B W and Z only
 C W only
☒ D Z only

5

- 9 The diagram shows the demand for and supply of a product.



What can be deduced about the product?

- A It has infinite price elasticity of demand. *(perfectly elastic demand)*
- ☒ B It has no substitutes.
- C It is an inferior good. *(Relationship with income)*
- D It takes a large proportion of consumer income. *(luxury good, elastic demand)*
- 10 In 2010, poor harvests *S↓* reduced fruit crops, and furniture producers gave big discounts on furniture products.

How might these changes have affected the position of the supply curve for the products?

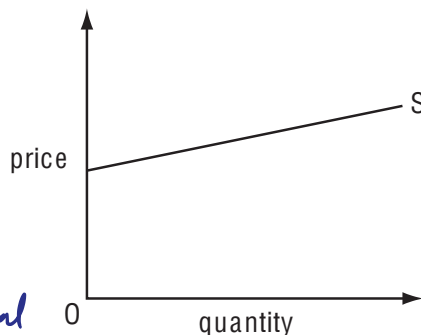
	fruit	furniture producers
☒ A	no change	shift to the left
☒ B	<u>shift to the left</u> <i>S↓</i>	no change
C	<u>shift to the left</u> <i>S↓</i>	shift to the left
☒ D	shift to the right	no change

→ No factor of supply changed

→ No example related to it in extract

11 The diagram shows a supply curve.

* Link with longrun aggregate supply
 * As more output increases there will be capacity constraints as economy reaches nearer to potential



Which statement describes the price elasticity of supply along this curve?

- ☒ A It diminishes as quantity increases.
☐ B It is constant and greater than unity at all quantities. (Has to start from origin)
☐ C It is constant and less than unity at all quantities. (Has to start from origin)
☐ D It increases as quantity increases. (other way round)

12 The table shows a competitive market in equilibrium in two periods.

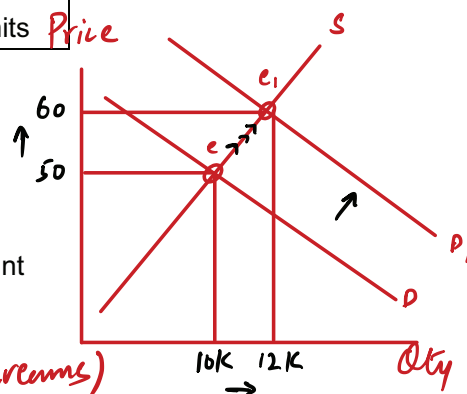
Substitutes
 Coke Price ↑
 Pepsi Demand ↑

period	market price	quantity traded
1	50 cents	10 000 units
2	60 cents	12 000 units

* Positive relationship between price of one good and demand for other good.

What could explain the change from period 1 to period 2?

- ☐ A an increase in the price of a complement
☒ B an increase in the price of a substitute
☐ C the imposition of a minimum price of 60 cents by a government
☐ D the imposition of an indirect tax on suppliers

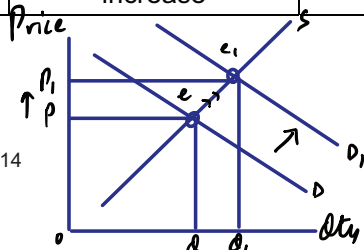
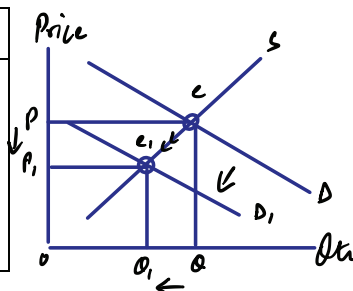


(Umbrellas) Demand ↑ (Demand ↓ for ice creams)

13 A country experiences a very wet and cold summer.

How might this affect the price of umbrellas and the price of ice creams?

	price of umbrellas	price of ice creams
A	decrease	decrease
B	decrease	increase
☒ C	increase	decrease
D	increase	increase



14 What is an externality created by an individual consuming take-away food?

- A the cost to the individual of purchasing the take-away food (*private cost*)
- ☒ B the ^{*Pollution*} litter created by the individual's take-away food packaging being discarded
- C the ^{*satisfaction*} pleasure derived by the individual from eating the take-away food (*private Benefit*)
- D the time saved by the individual purchasing the take-away food (*Question refers to consumption*)

15 A project has a social cost of \$100 million, a private cost of \$40 million and an external benefit of \$20 million. Its net social value is zero.

What can be concluded about the project?

$$SC = PC + EC$$

$$100 = 40 + x$$

$$x = 60$$

$$EB = \$20$$

$$EC = \$60 \quad [EC > EB]$$

- ☒ A External cost is greater than external benefit.
- B Private cost is greater than external cost.
- C Private cost is greater than private benefit.
- D Social cost is greater than social benefit.

consider social cost and social benefit

'Government way to select a project'

16 What is least likely to be included in a cost-benefit analysis of a proposed new university?

- A the costs of building the new university
- B the extra income earned by the new university's graduates
- ☒ C the future staffing costs of 'other' universities (*No*)
- D the staffing costs of the new university five years into the future
- * Cost-benefit analysis, sometimes called benefit costs analysis, is a systematic approach to estimating the strengths and weaknesses of alternatives used to determine options which provide the best approach to achieving benefits while preserving savings.

17 A local government decided to organise a craft show in its exhibition centre. Admission was \$3. It promoted the show by paying for advertisements on advertising sites around the area.

How may the craft show and the advertisements be classified from the viewpoint of local residents?

	craft show	advertisements
A	private good	private good
☒ B	private good	public good
C	public good	private good
D	public good	public good

Non-rival and Non-Excludable

consumption by one individual doesn't reduce the consumption of other!

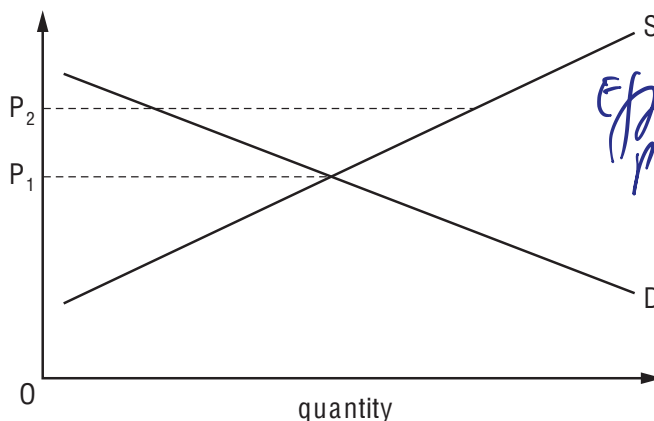
* Private good, price attached to it '\$3'

↓

Rival and excludable

- 18 The diagram shows the original market clearing price is P_1 . The government then imposes a maximum price of P_2 on the industry.

↙
Ineffective maximum price, it will fall back to equilibrium!



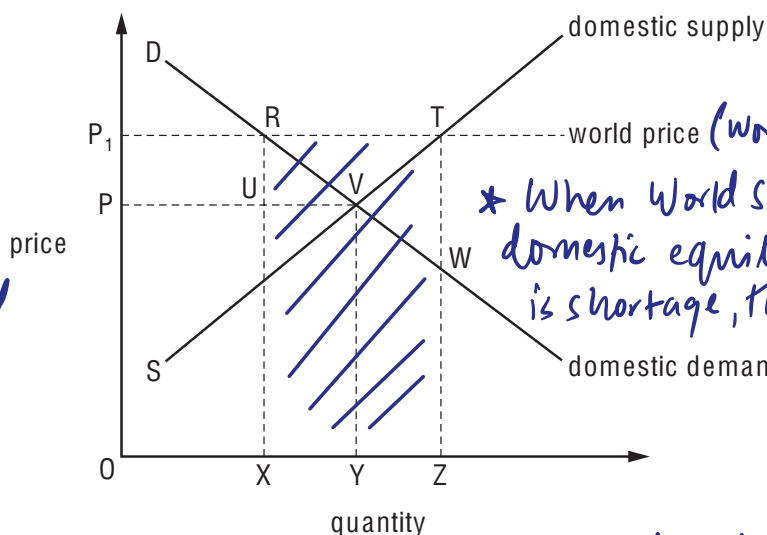
Effective maximum price:- Below the equilibrium

What will result from this?

- A a higher price and output (falls back)
 B a shortage (when below equilibrium)
 C a surplus (It will fall back)
 ✓ D an unchanged price and output (BACK to price mechanism)

- 19 The diagram shows that a country can make a product at less than the world price.

X - Z:- surplus / volume of exports
 Shaded area is surplus which will be exported!



* When World Supply is below domestic equilibrium, there is shortage, thus volume of imports!

What will happen if it engages in international trade?

It's below demand curve and above price level

- A Domestic consumers will experience a fall in consumer surplus of RVT. (incorrect)
 B Domestic output of OY will be exported. (No, X to Z will be exported)
 C Domestic producers will gain an increase in revenue of PP1TV. (No) ($TR = P \times Q$)
 ✓ D Revenue from exports will be XRTZ from the product. (Yes)

20 Which argument is an importer most likely to use to gain the support of consumers for free trade?

- A More imports allow the government to raise revenue from tariffs. (No tariff in free trade)
 B More imports improve the country's terms of trade. (TOT is about prices of export & imports)
☒ C More imports increase competition in the domestic economy. (Domestic firms are bound to be efficient)
 D More imports raise total employment in the domestic economy. (It doesn't, domestic firms are driven out)

21 A country is a major producer of cotton. Its government imposes a tax on exports of its cotton.

What effect will this have on the price of cotton in the domestic and world markets?

	domestic price	world price
A	decrease	decrease
☒ B	decrease	increase
C	increase	decrease
D	increase	increase

Tax on its exports $\Rightarrow$ world prices $\uparrow$
 $\downarrow$ Demand $\downarrow$
 Surplus to domestic market
 $\downarrow$ prices $\downarrow$ in domestic market
 Indirect tax (Tax on goods) e.g. cotton!
 Immediate effect $\uparrow$
 Subsequent effect

22 A US company receives a US\$20 million dividend from shares that it owns in a Brazilian company.

[Net incomes] (Part of current account)

How would this dividend be shown in the balance of payments of the United States?

- A a credit in the capital account
☒ B a credit in the current account
 C a debit in the capital account
 D a debit in the current account

Inflows:- credit outflows:- Debit
 Current account:-
 (1) Trade in goods (3) Net incomes
 (2) Trade in services (4) Net transfers

23 In 2007 Turkey had a population of 73m. Its labour force was 36m, of which 12m were trained for the primary sector and 24m were trained for the secondary and tertiary sectors. The unemployment rate was 10%.

What was the number of people unemployed?

- A 1.2m B 2.4m ☒ C 3.6m D 7.3m

$$\text{Unemployment rate} = \frac{\text{Unemployed}}{\text{labour force}}$$

$$10\% = \frac{x}{36m}$$

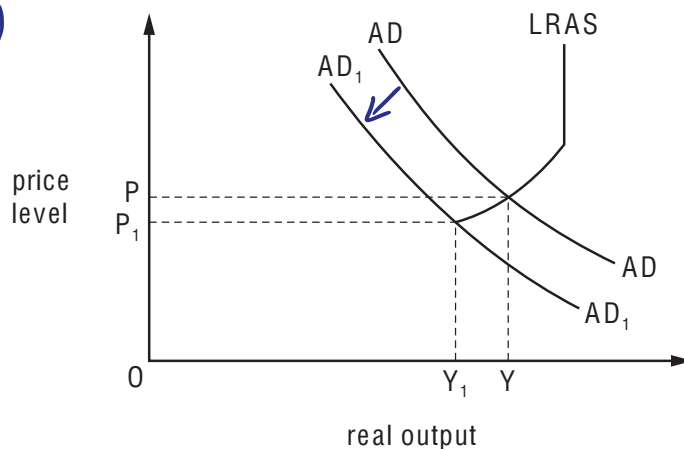
$$x = 3.6m$$

$$\text{labour force} = \text{Employed} + \text{Unemployed}$$

- 24 The diagram shows the macroeconomic equilibrium output and price level changing from Y and P to Y_1 and P_1 .

$$AD = C + I + G + (X - M)$$

↓ ↓



What could have caused this change?

- ☒ A a decrease in exports ($X \downarrow$, incomes $\downarrow$, $AD \downarrow$)
- ☐ B a decrease in labour productivity ($AL \downarrow$)
- ☐ C an increase in the government's spending ($G \uparrow$, $AD \uparrow$)
- ☐ D an increase in the money supply ($M \uparrow$, $R \downarrow$, $C \uparrow$, $I \uparrow$, $AD \uparrow$)

- 25 The table shows an index of consumer prices (2005 = 100) for a number of countries for 2009, 2010 and 2011.

$$\frac{\text{New-old}}{\text{Old}} \times 100$$

	2009	2010	2011	Rate of inflation
Canada	107.8	108.9	112.0	3.9%
Greece	111.9	117.2	121.1	8.2%
India	135.2	151.4	164.8	21.9%
(A) Deflation $\leftarrow$ Japan	100.3	$\rightarrow$ 99.6	$\rightarrow$ 99.3	$\Rightarrow$ less than Base year
Portugal	107.4	108.9	112.9	5.0%
(B) Switzerland	104.3	$\rightarrow$ 104.5	$\rightarrow$ 104.7	Prices $\uparrow$

Which statement about the period 2009 to 2011 is not correct?

- ☐ A Prices fell in Japan. (Deflation) (less than Base year) (negative inflation)
- ☐ B Prices increased in Switzerland.
- ☒ C Prices rose more in Greece than in India. (8.2% vs 21.9% other way round is correct)
- ☐ D Prices rose more in Portugal than in Canada. (Yes)
- ↓ ↓
- 5% 3.9%

Inflation $\Rightarrow$ value of money $\downarrow$

Deflation $\Rightarrow$ value of money $\uparrow$

11

26 In what circumstances will money lose its value?

- A The economy experiences a period of deflation.
 B The general level of prices is falling.
 C The growth of money supply falls below the growth of output. (output is high)
 ✓ D The rate of inflation is positive. (prices $\uparrow$, value of money $\downarrow$)
-] Both statements are of deflation, negative inflation

27 What would most help a country to achieve a surplus on the current account of the balance of payments?

- A a depreciating exchange rate combined with a high rate of inflation and falling productivity
 ✓ B a depreciating exchange rate combined with a low rate of inflation and rising productivity
 C an appreciating exchange rate combined with a high rate of inflation and falling productivity
 D an appreciating exchange rate combined with a low rate of inflation and rising productivity
- BoT deficit
 X prices $\downarrow$, M prices $\uparrow$, BoT surplus
 X prices $\downarrow$, M prices $\uparrow$, BoT surplus AS $\uparrow$, prices $\downarrow$, BoT surplus

28 At the start of the year, the exchange rate of Country X's dollar (X\$) to Country Y's pound (Y£) is X\$4.80: Y£1

During the year prices increase by 10% in Country X and by 20% in Country Y.

According to Purchasing Power Parity theory, what will be the exchange rate at the end of the year?

- ✓ A X\$4.40: Y£1
 B X\$4.90: Y£1
 C X\$5.00: Y£1
 D X\$5.20: Y£1

Y £ 1 : X \$ 4.80
 20% prices $\uparrow$ 10% prices $\uparrow$
 After :-
 $1.2 Y : 4.8 \times 1.1 X$
 $1 Y : \frac{4.8 \times 1.1}{1.2} \Rightarrow 4.40 X$

29 Devaluation always has the effect of

- A decreasing the price of imports. $\Rightarrow$ It increases the M prices $\uparrow$
 B decreasing the value of imports. $\Rightarrow$ Depends on PED
 C worsening the balance of payments. $\Rightarrow$ Depends on PED
 ✓ D worsening the terms of trade.

ToT :- $\frac{X \text{ prices } \downarrow}{M \text{ prices } \uparrow} \times 100$
 $\swarrow$
 worsens

- 30 Policies to correct a balance of payments deficit fall into two categories: expenditure-dampening policies and expenditure-switching policies.

Which pair of policies in the table are classified correctly?

	expenditure-dampening policy	expenditure-switching policy
A	an increase in the rate of income tax	the imposition of import quotas
B	an increase in the rate of value added tax	an increase in the rate of income tax
C	devaluation of the currency	an increase in the rate of value added tax
D	the imposition of import quotas	devaluation of the currency

Switching
Switching

option A :-

income tax ↑
Disposable income ↓
consumption ↓
Demand for imports ↓
 $M(TE) ↓$
outflows ↓

and

Quota
 $M_{prices} ↑$, $M_{Qty} ↓$
 $M(TE) ↓$
outflows ↓

⇒ Dampening

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